



Booz Allen Hamilton Holding Corporation Class A

2Q26 Earnings Summary

Analyst: Nirali Aswal
Earnings Date: 10/24/2025

Portfolio Weight: 0.83%

Key Financial Results

Revenue: **\$2.89B** vs. \$2.97 est. | (-4.7% YoY)

Adjusted EBITDA: **\$324M** vs. \$321M est. | (-11.0% YoY)

Adjusted Diluted EPS: **\$1.49** vs. \$1.53 est. | (-17.7% YoY)

Book-to-Bill Ratio: 1.7x for the quarter, trailing 12-month ratio at 1.1x

Segment Performance

Defense Revenue: \$1.58B (+2.1% YoY):

- Growth supported by continued strong demand for AI-enabled mission systems, cyber, and warfighting modernization.

Intelligence Revenue: \$483M (-2.3% YoY):

- Minor YoY decline driven by lower subcontractor usage and slower program ramp-ups tied to clearance timelines.

Civil Revenue: \$827M (-25.2% YoY):

- Impacted by agency delays, funding constraints, and the restructuring of certain Civil programs.

Operational Highlights

- BAH won \$7.2B of bookings (90% in national security) including multiple \$800M+ awards, but funding is arriving in short increments and new awards are ramping more slowly than historical patterns.
- Civil contracts carry higher fixed-price margins, so losing volume there, while national security grows at lower margins, exerted structural pressure on profitability.
- Cyber momentum accelerated, with Thunderdome meeting government milestones two years early and emerging as the standard for federal zero-trust architectures.

Forward-Looking Guidance

- **Revenue and profitability revised down:** FY26 revenue guided to \$11.3–\$11.5B, with adjusted EBITDA margins in the mid-10% range and EPS cut to \$5.45–\$5.65.
- **Cost actions underway:** Booz Allen is executing \$150M in annualized cost reductions, with only a modest benefit in FY26 and full run-rate impact in FY27.
- **Government shutdown:** \$30M revenue and \$15M profit loss assuming the shutdown extends through October 31.

Analyst Commentary

Booz Allen's quarter reflected ongoing operational strain, driven by a stalled civil environment and slower funding conversion across the portfolio. Large national security wins did not translate into immediate revenue, as contract ramp-ups and funding increments remained below historical norms. The firm also recorded \$1.1B in ceiling reductions tied to government cost controls, adding pressure to long-term contract visibility. Utilization improved largely due to workforce reductions in civil, not stronger demand. Overall performance was limited by weak procurement activity, mix-driven margin compression, and slower-than-expected contract execution.